

DAILY NEED TO KNOW

Friday, 7 August 2026 · Pre-market brief for Anne Wong

Covering the **Thursday 6 August 2026 US session as settled** and the Globex overnight into Friday. All times GMT+8 (HKT). Live prices in this brief were captured **10:15–10:50 GMT+8 Friday**. Asian cash markets were open at capture; the overnight section is written to the 06:00 template — see section 12 and Data-confidence.

Edition: FULL — Hedgeye logged-in edition. Thursday's Early Look "*The Paradise Paradox*" (Josh Steiner, 19:58 GMT+8 Thursday) is the live risk-range set until tonight's Early Look publishes ~19:25–19:55 GMT+8. The monthly Quad path is **3 → 1 → 2**, unchanged from yesterday. Unlike yesterday's edition, **ETF Pro Plus book changes were visible** this morning — five of them, and they matter. See section 4.

1 Market snapshot — Thursday's close, and where it is trading now

ASSET	LAST	CHANGE	NOTE
S&P 500	7,709.96	▼ -13.59 / -0.18%	Second consecutive loss. Ranged 7,698.15–7,742.85 and closed 11.8pts off the low, having been +18.5 at mid-morning . The tape faded all afternoon for the second day running
Nasdaq Composite	26,348.35	▼ -15.09 / -0.06%	Best of the majors, which is not the usual sentence. Ranged 26,208.43–26,499.42. Still 3.1% below the 27,190.21 June record
Dow Jones	53,885.10	▼ -464.02 / -0.85%	Ends the record run at three. Worst of the majors by a factor of four. Goldman alone removed ~165 index points — see section 2
Russell 2000	3,001.55	▼ -17.64 / -0.58%	Lost the 3,000 handle intraday at 2,999.50 and closed 1.55pts above it. Wednesday's 3,048.85 record now looks like the high-water mark
Philadelphia SOX	12,048.69	▲ +39.81 / +0.33%	The one major that went up. Ranged 11,707.78–12,288.56 — a 4.8% intraday span on a +0.33% day. Nothing about that is calm
S&P futures (ES)	7,732.50	▼ -2.25 / -0.03%	LIVE 10:12 EDT. Settled 7,734.75, 27,769 lots. Basis to cash +24.79, against +25.95 Wednesday — clean
Nasdaq-100 fut (NQ)	29,522.25	▲ +34.00 / +0.12%	LIVE. Settled 29,488.25. The only major future green overnight, and it is the one that fell hardest yesterday
Dow futures (YM)	53,917.00	▼ -96.00 / -0.18%	LIVE. Settled 54,013, only 2,341 lots. No appetite to buy the break
Russell futures (RTY)	3,003.90	▼ -5.20 / -0.17%	LIVE. Settled 3,009.10. Basis +7.55 vs +6.21 Wednesday
US 10Y yield	4.670%	▲ +5.3 bp	Reversed three straight sessions of decline in one. Ranged 4.63–4.68. Still inside a 4.57–4.74 band
US 30Y yield	5.21%	▲ +4 bp	Back above 5.20 after two sessions under it
US 5Y yield	4.389%	▲ +6.5 bp	The belly led the sell-off — the largest move on the curve, and the one that argues cuts are being priced out, not in
US 13-week bill	3.732%	▲ +0.7 bp	The front end still refuses to move. Six sessions inside 3.72–3.74
WTI crude (Sep)	\$78.01	▲ +0.72 / +0.93%	LIVE. Settled \$77.29, +2.75% — the biggest up day in weeks, on the day Iran said a Hormuz route was agreed. Read that twice. Inside Hedgeye's rebuilt \$72.45–\$82.79 band
Brent crude (front)	\$83.37	▲ +0.88 / +1.07%	LIVE. Settled ~\$82.49, +3.83%. Brent outran WTI by more than a point of percentage — the seaborne barrel is where the risk sits
Nat gas (Sep)	\$2.6270	▼ -0.0130 / -0.49%	LIVE. Settled 2.640, -1.79%. Sitting 3.7c off the floor of a bearish 2.59–2.79 band
RBOB gasoline	\$2.7049	▲ +0.0105 / +0.39%	LIVE. The day-over-day is unusable — the quoted contract appears to have rolled. See Data-confidence
Gold (Dec)	\$4,318.00	▲ +18.40 / +0.43%	LIVE. Settled \$4,299.60, -0.13% — gave back nothing and gained nothing after the best session of the year. Hedgeye raised the ceiling to 4,301 and the metal is sitting on it
Silver (Sep)	\$62.425	▲ +0.819 / +1.33%	LIVE. Settled 61.606, -1.10%. Hedgeye widened the band to 55–63 at both ends; the price went straight back at the ceiling overnight
Copper (Sep)	\$6.7575	▲ +0.0485 / +0.72%	LIVE. A 52-week high of 6.76 overnight. Settled 6.709. The band was raised to 6.40–6.85 and it is already in the top quarter

ASSET	LAST	CHANGE	NOTE
US Dollar (DXY)	99.95	◆ +0.02 / +0.02%	LIVE. Ranged 99.92–100.00 overnight. Hedgeye cut the whole band 26bp to 98.75–100.74, still BEARISH
USD/JPY	158.342	▼ -0.07%	LIVE. A sixth session pinned in a one-yen range. The intervention level is doing the work
USD/KRW	1,418.43	▼ -0.30% (won stronger)	LIVE. The won firmed again while the Kospi fell again. Third session of that pairing — see section 12
VIX	15.15	▼ -0.66 / -4.17%	Fell 4.17% on a day the Dow lost 464 points. Low 15.11. Now 0.39 off the floor of a 14.76–19.49 band that was lowered at both ends
Bitcoin (live)	\$64,274	▼ -0.38%	02:22 UTC. ETH \$1,899.72 (+0.12%). Ninth consecutive session of nothing. Sub-\$2,000 Ether is the tell

Colour key: ▲ up ▼ down ◆ neutral/flat, coloured by raw price direction only — a rising yield and a falling VIX both read green here, and neither is necessarily a good thing. Rows marked LIVE were captured 10:15–10:50 GMT+8 Friday 7 August; everything else is Thursday's official cash close. Every futures row reconciles exactly to Thursday's settle and each settle reconciles back to the Wednesday settles published in yesterday's edition: ES 7,749.50 → 7,734.75 → 7,732.50; NQ 29,615.00 → 29,488.25 → 29,522.25; YM 54,494 → 54,013 → 53,917; RTY 3,025.40 → 3,009.10 → 3,003.90. Cash index arithmetic ties in all four cases against yesterday's published closes: 7,723.55–13.59=7,709.96; 26,363.44–15.09=26,348.35; 54,349.12–464.02=53,885.10; 3,019.19–17.64=3,001.55. Gold, silver and copper are quoted here as front-month futures; Hedgeye's bands are spot — a contango basis of roughly 0.5–1.0% applies, and it matters this morning because gold is sitting on its ceiling. See Data-confidence.

TL;DR

The index that had made three straight record closes gave up 464 points, and it was not about technology. **Goldman Sachs fell 2.62% to 1,032.58 and took roughly 165 Dow points with it** — more than a third of the entire decline, on a price-weighted divisor where one dollar is 5.94 index points. Add UnitedHealth, Boeing, Caterpillar, Honeywell and Salesforce and six names account for about 430 of the 464. **Microsoft rose 2.54% and contributed +74 Dow points, and the index still lost 464.** That is a breadth event wearing a mega-cap costume.

Underneath it, the software complex broke. **Datadog -19.03%, HubSpot -19.10%, AppLovin -19.66%, The Trade Desk -6.80% to \$17.67** — three names down a fifth in a single session on guidance, not results. IGV fell 1.87% while SMH rose 0.31%. Hedgeye is documented net long software and net short semiconductors; on Thursday that leg lost 2.2 points of spread. Keith's own framing all week has been that the market is paying for guidance and not for results, and Thursday was the purest expression of it yet.

The data was good and the bond market sold off anyway. Jobless claims 199,000 against 202,000 expected. Challenger July layoffs 33,429 — the lowest in two years, down 46% year-over-year. Q2 productivity +1.4% against +0.6%, unit labour costs +1.3% against +2.1%. That is a disinflationary productivity print, and yet 5Y yields rose 6.5bp and 10Y rose 5.3bp, reversing three sessions of rally in one. The curve is not trading the inflation data. It is trading Friday.

Iran said the Hormuz coordinates are agreed and crude rallied 2.75%. Baghaei confirmed a route agreed with Oman, a 60-day trial for oil shipments under discussion, and a caveat about "certain third parties". Trump said a deal could be announced this week; Iran denies direct US talks; Oman has said nothing. Crude's response to the best headline in four weeks was to go up nearly three per cent. Either the market does not believe it, or it has decided the reopening is a smaller number than the risk premium it has been carrying. Both readings are bearish for the consensus long-crude-on-conflict trade.

The one to hold on to: **Hedgeye added a short in memory (DRAM) and Asian innovators (MINV), and removed the silver miners short.** On the same morning Keith called the Kospi "-22% in the last month and crashing -31% from its peak" and flagged Nasdaq implied volatility at a **19% discount** to realised. VIX closed at 15.15, three-tenths off the floor, on the morning of a payrolls print. Insurance has rarely been cheaper into an event that rarely matters more.

2 The big picture — what it means

- The Dow's 464-point loss was six stocks and a divisor, not a market.** On a price-weighted index where \$1 of share price is 5.94 index points, Goldman's -\$27.80 is ≈165 points, Caterpillar's -\$14.12 is ≈84, UnitedHealth's -\$8.78 is ≈52, Boeing's -\$8.00 is ≈48, Honeywell's -\$7.38 is ≈44 and Salesforce's -\$6.21 is ≈37. That is ≈430 of 464 from six names, roughly 93%. Microsoft was **+2.54% to 499.86**, worth ≈+74 points on its own, and the index still fell. The S&P, which weights by capitalisation rather than price, lost 0.18%. Anyone reading "Dow snaps record streak" as a market-wide risk event has been misled by an eighteenth-century construction methodology.
- Software is being repriced on guidance, and it is happening three names at a time.** Datadog fell 19.03% to 229.29 after revenue grew 36% to over \$1bn. HubSpot fell 19.10% to 202.43 on a revenue guidance cut and now sits 61% below its 52-week high of 525.51. AppLovin fell 19.66% to 335.67 on a Piper downgrade and a miss against its own revenue and EBITDA guidance — and its session low of 332.19 was also its 52-week low. The Trade Desk fell 6.80% to \$17.67, against a 52-week high of \$91.45; the CEO's line was that customers are "operating in a different environment." Four names, four different stories, one mechanism: the multiple is paying for the forward number and nothing else.
- The labour data was unambiguously fine and the bond market did the opposite of what that implies.** Claims 199,000 versus 202,000 expected, with the four-week average down to 198,750. Challenger's July layoffs of 33,429 were the lowest in two years, -27% month-over-month and -46% year-over-year, of which AI accounted for 10,970. Q2 nonfarm productivity ran +1.4% against +0.6% expected and unit labour costs +1.3% against +2.1% — the most disinflationary combination the quarter could have produced. Yields rose across the curve, led by

the 5Y at +6.5bp. The curve is not arbitrating Thursday's data. It is positioning for Friday's payrolls, where the 29 July dissents were hawkish and a hot print is the asymmetric risk.

4. **Energy was the best sector on the day Hedgeye bought it, and that is not a coincidence.** Keith bought XLE into Wednesday's close — he said so on Thursday's Macro Show, at 22:36 into the tape — and XLE closed **+1.48%, the best of the eleven**, with Exxon +2.12% and Occidental +4.14% on its highest quarterly profit since 2022. He also said, on the record, that he had made a mistake exiting the copper long and replaced that exposure with energy. Copper printed a 52-week high overnight. Both halves of that statement are now true at once, which is the honest version of a good call.
5. **The equal-weight broadening thesis stopped working, on exactly one session.** RSP fell 0.52% against SPY's 0.16% — a 36bp *lag*, after Wednesday's 3bp lag and Monday's 50bp. Hedgeye's core US equity expression is RSP rather than the cap-weighted index, and Keith restated on Thursday that he is "not long the capitalisation-weighted S&P 500." One session does not break a thesis. But the broadening argument has been the constructive leg of the house view for three weeks, and Thursday it went the wrong way while the mega-cap that carried the index went up.
6. **Wholesale sales fell 3.0% against an expected +2.2%, and nobody reported it.** That is a 5.2-percentage-point miss on a series that feeds directly into the inventory-to-sales ratio and therefore into GDP. Inventories were revised to +0.2%. A build in inventories against a sharp fall in sales is the classic late-cycle signature, and it landed on the same morning as a two-year low in announced layoffs. Those two facts do not sit comfortably together, and the market traded neither.

3 Rates, currencies & commodities

- **The curve reversed three sessions in one and the belly led.** Thursday cash closes: 5Y 4.389% (+6.5bp), 10Y 4.670% (+5.3bp), 30Y 5.21% (+4bp), 13-week 3.732% (+0.7bp). The 5Y leading a sell-off is a cuts-priced-out move, not a term-premium move — if it were term premium the 30Y would have led. TLT fell 0.58% to 82.52 and sits 63c off its 52-week low. Hedgeye is short Treasuries via TLT and Keith described the position as one of the lower-beta shorts that can be sized more heavily. It worked.
- **Hedgeye's 10-year band moved down 1bp at the floor and the signal is still bullish-yield.** UST10Y 4.57–4.74, from 4.58–4.74. The cash 4.670% now sits 10.0bp above the floor and 7.0bp below the ceiling of a 17bp band. The house has expected yields to rise all week; they finally did, and the band did not need to move to accommodate it.
- **The dollar band came down 26bp at both ends and stayed bearish.** DXY 98.75–100.74, from 99.01–101.17. Spot 99.95 is mid-band and has traded an eight-basis-point range overnight. The bearish dollar call survived a session in which yields rose across the curve, which is the interesting part: rate differentials widened in the dollar's favour and it did not move. Keith remains out of dollars entirely, long Colombia (COLO +1.16% to a fresh high, 47c off its 52-week high) and the Philippines.
- **Crude round-tripped a peace headline upward.** WTI Sep settled \$77.29 (+2.75%), Brent ~\$82.49 (+3.83%), on the day Iran's foreign ministry confirmed geographic coordinates for a Hormuz route agreed with Oman. Hedgeye's rebuilt band is **WTIC \$72.45–\$82.79, bearish** — narrower than Wednesday's \$73.09–\$84.68, with the floor down 64c and the ceiling down \$1.89. The settle sits mid-band. The house has no crude position, which after the last five months of whipsaw is a position in itself; Steiner's Early Look used exactly this instrument as its case study in why a Trend signal is a duration and not a conviction.
- **Metals: gold stalled on its new ceiling, silver went back at its new one, copper made a 52-week high.** Gold Dec settled \$4,299.60 (–0.13%) after Wednesday's best session of the year, and Hedgeye lifted the spot ceiling from 4,175 to **4,301** — the metal is now sitting on it rather than through it. Silver Sep settled 61.606 (–1.10%) inside a band widened to 55–63 from 57–62. Copper Sep settled 6.709 and touched **6.76 overnight, a 52-week high**, inside a band raised to 6.40–6.85 from 6.36–6.70. GLD +0.01%, SLV –0.39%. Three consecutive sessions in which Hedgeye has had to move metals bands upward to contain the price is a signal about the signal.
- **Nat gas is the quiet bearish trade nobody mentions.** Sep settled 2.640 (–1.79%), 5c off the floor of a 2.59–2.79 band whose ceiling was cut 11c from 2.90. Bearish TREND, no ambiguity, and the only commodity on this page with no bullish narrative attached to it at all.

4 Hedgeye — regime, risk ranges & the 3-1-2 Quad path

New since yesterday's brief: Early Look "The Paradise Paradox" (Josh Steiner, 19:58 GMT+8 Thursday), KM's Top 3 Things — KOSPI/Momentum/Sectors (19:19), The Macro Show with Keith McCullough and Restaurants analyst Bennett Cheer (19:21, summary notes 22:37), MOMO Tracker (21:13), Crypto Quant (19:50), **ETF Pro Plus — 5 new changes (22:46)**, Signal Strength Stocks — 65 names, 7 added / 5 removed (00:54 Friday), and Capital Allocation Pro Key Callouts video (01:14 Friday). Thursday's Early Look ranges are live until tonight's set publishes ~19:25–19:55 GMT+8.

HEDGEYE MACRO DASHBOARD	READING	WHAT IT SAYS
Q3 2026 quarterly	SHALLOW QUAD 4	Growth decelerating –17bp to 1.93% , inflation slowing –31bp to 3.55% on the latest GDP Nowcast. Steiner's note: "Shallow Quad 4 backtests more like Quad 1 than Quad 4"
Monthly Quad path	3 → 1 → 2	Unchanged from yesterday. August Quad 3, September Quad 1, October Quad 2. The August CPI Nowcast was revised –5bp to 3.60% — still an acceleration from July but now only +13bp, "so the baton pass to September's Quad 1 is being discounted"
Q4 2026 / Q1 2027	QUAD 2, then QUAD 4	Q4 growth +25bp to 2.18%, inflation +20bp to 3.75%; monthly 2-1-2 for Oct–Dec with conditional probabilities of 55% / 71% / 76%. Q1 2027 is a Quad 4 , with February and May 2027 carrying 63% and 78% conditional probabilities of monthly Quad 4

HEDGEYE MACRO DASHBOARD	READING	WHAT IT SAYS
Book positioning	LONG-BIASED, SELECTIVE	63 Signal Strength longs and 52 shorts — 115 eligible positions. Not long the cap-weighted S&P; long RSP and selected US equity ETFs. Net long software, net short semiconductors. Long: XLV, XLE (new), XLRE, RSP, VYM, IAK, FAB, DESK, NOBL, IPAY, gold. Short: EWY, semis basket, SoftBank, HUBS, APP, EIS, QAT (largest short), UUP, TLT
ETF Pro Plus book change	5 CHANGES	ADDING LONG: Interest Rate Hedge (IVOL), High Dividend (HDV). ADDING SHORT: Roundhill Memory (DRAM), Asia Innovators (MINV). REMOVING SHORT: Silver Miners (SIL) at 71.41–85.08. The memory and Asia-innovator shorts are the KOSPI thesis expressed in instruments
Nasdaq volatility	COMPLACENT	VXN near 24 inside a 22–31 range, with implied volatility at a 19% discount to 30-day realised — against a premium one week ago. Keith: this plus KOSPI momentum plus Tier 1 Alpha's 1M-vs-3M flow data "all point toward preparing for more volatility"
Momentum signals	HIGH BETA –14.2% (1M)	High Beta Momentum fell another 2.4% Wednesday. Gold led the Factor Exposure Dashboard. MOMO Tracker headline: "Mag7 (–0.6%), Perf & TREND Dispersion ↑, ATH MOC Imbalance, Lots to Do" — published 21:13 GMT+8, before Thursday's US session

Risk Ranges — Thursday's Early Look "The Paradise Paradox", live until tonight's set publishes

INSTRUMENT	IMMEDIATE-TERM RISK RANGE	TREND	WHERE IT STANDS NOW
S&P 500 (SPX)	7,354 – 7,795	Bullish	7,709.96 — 85.0pts below the ceiling, 356.0 above the floor. Ceiling cut 6pts from 7,801; floor unchanged. Keith: the band "still allows approximately 5% of downside" — precisely 4.62%
Nasdaq Composite	24,400 – 26,778	Bullish	26,348.35 — 429.7 below the ceiling. The floor was cut 808 points and the ceiling 190. The band is now 2,378 wide, 9.0% of the index, against 6.7% yesterday. That is the realised-volatility repricing, in one row
Russell 2000 (RUT)	2,950 – 3,051	Bullish	3,001.55 — 49.5 below the ceiling, 51.6 above the floor. Almost exactly mid-band, after touching 2,999.50 intraday. Ceiling cut 19, floor raised 14
US 10Y yield	4.58 – 4.74%	Bullish	4.670% — 10.0bp off the floor after a +5.3bp session. Floor lowered 1bp; ceiling unchanged
US Dollar (DXY)	98.75 – 100.74	Bearish	99.95 live — mid-band. Both ends cut 26bp and 43bp. The bearish signal survived a day of rising US yields, which is the notable part
WTI crude	\$72.45 – \$82.79	Bearish	\$77.29 settle, \$78.01 live — mid-band after a +2.75% session. Band narrowed at both ends from \$73.09–\$84.68. No Hedgeye position in crude
Nat gas	\$2.59 – \$2.79	Bearish	\$2.640 settle, 2.627 live — 3.7c off the floor. Ceiling cut 11c from 2.90
Gold (spot)	\$4,029 – \$4,301	Neutral	Dec futures settled \$4,299.60, live \$4,318. Ceiling raised \$126 from 4,175 and the metal is sitting on the new one. Spot-versus-futures basis applies — see Data-confidence
Silver (spot)	\$55 – \$63	Bearish	Sep futures settled 61.606, live 62.425. Band widened at both ends from 57–62. Bearish signal with the price in the top decile of its own band, for a third session
Copper (spot)	\$6.40 – \$6.85	Bullish	Sep settled 6.709, live 6.7575 with a 52-week high of 6.76 overnight. Band raised from 6.36–6.70. The only metal Hedgeye rates bullish TREND — and Keith said he was wrong to exit it
VIX	14.76 – 19.49	Bearish	15.15 — 0.39 off the floor , the tightest to the low end in two weeks. Both ends lowered; the ceiling cut 1.16 from 20.65. Three-tenths of vol, on a payrolls morning
HY credit (HYG)	78.93 – 79.74	Bullish	79.46 — 28c below the ceiling. Fell 0.08% on a –464 Dow day. Credit did not care, again
IG credit (LQD)	105.4 – 107.2	Bearish	106.36 — mid-band, –0.36%. Band unchanged for a second session. Hedgeye's LQD short is marginally offside
Tech (XLK)	\$173 – \$188	Bullish	185.33 (–0.31%) — \$2.67 below the ceiling, which was cut \$2 from 190. The floor has not moved in three sessions while the ceiling keeps coming down
Health Care (XLV)	\$160 – \$168	Bullish	164.45 (+0.18%) — upper half, and the second-best sector for a second consecutive day. Band raised \$1 at both ends. Hedgeye long

INSTRUMENT	IMMEDIATE-TERM RISK RANGE	TREND	WHERE IT STANDS NOW
Real Estate (XLRE)	\$44.44 – \$46.30	Bullish	44.81 (−0.86%) — 37c off the floor , the lowest position in the band this week, after three flat sessions broke to the downside. Band unchanged. Hedgeye long, and this one is not working

Sixteen macro ranges. No single-name range was published this morning — yesterday's edition carried NVDA at \$190–216, and its absence is not evidence the signal changed. Hedgeye publishes no Risk Ranges for Utilities, Financials, Energy, Communication Services, USD/JPY, Brent, Bitcoin or any Asian index. Gold, silver and copper bands are spot; this brief compares them to front-month futures settles, where a contango basis of roughly 0.5–1.0% applies. Band-versus-band comparisons are against the 5 August Early Look as published in yesterday's edition of this brief.

What Keith actually said

- **On Korea, and he was not hedging.** "Dr. KOSPI failed miserably @Hedgeye TRADE Momentum Resistance, down another -4.6% overnight taking it to **-22% in the last month and crashing -31% from its #MOAB peak.**" He remains short EWY and short SoftBank, and frames Korea as the leading indicator for global semiconductor and high-beta momentum exposure. EWY fell 2.97% Thursday. The Kospi has fallen again this morning.
- **On the volatility mismatch, quoted exactly.** "#NazVol (NASDAQ Volatility = VXN) is way too complacent with this Asia Mo Factor still in play (implied vol for QQQ has been crushed to a complacent **-19% DISCOUNT vs. 30-day realized**)." One week ago that number was a premium. This is the single most actionable sentence Hedgeye published yesterday.
- **On momentum, and on being early.** "The Macro Unaware crowd that got smoked by #Quad4 in July is nowhere near out of the Drawdown Woods yet! High Beta Momentum, as a Factor Exposure, was already DOWN another -2.4% yesterday taking 1-month Momentum to **-14.2%.**" SanDisk, Marvell and Applied Materials were named as former longs already exited — SNDK fell another 6.81% Thursday to 1,258.58.
- **On sectors, and it is the whole strategy in three lines.** "I don't run a 'neutral' Hedge Fund – I lean into Quads, Sector Styles, and Factor Exposures. Getting OUT of Utes (XLU) in July was a critical move... **Despite Oil moving back to Bearish TREND, I bought more XLE into the close yesterday.**" XLU fell another 0.64% Thursday. XLE rose 1.48% and was the best sector on the board.
- **On the copper mistake, on the record.** He acknowledged that exiting the copper long was an error and that he replaced the exposure with energy. Copper printed a 52-week high overnight. Publishing your own bad exit on the morning the instrument makes a new high is the part of this process that is hard to fake.
- **On Netflix, which may be about to flip.** NFLX has moved into a bullish TRADE signal and formed a higher low. Keith said analyst confirmation could remove it from the Signal Strength short list, "which would also constitute a signal to go long." It had not been confirmed on the show. NFLX closed 73.69, −0.69%. This is the position change to watch for today.
- **On Steiner's framing, which is the better argument.** The Early Look was not Keith's; Josh Steiner wrote it, and its point was epistemic rather than directional: "The Signal tells you what the market is doing. The Quads tell you where the cycle is going." His case study was crude — bullish Trend in March on a forty-year weekly shock, bearish Trend now after the round trip from \$90 into the \$60s. "Anyone who spent the Spring building a durable macro thesis on the permanence of \$110 crude spent the summer relearning that Trend is a duration, not a perma-conviction."

5 Mag7 scoreboard (Thu 6 Aug close)

NAME	LAST	DAY	CAP	READ
Microsoft (MSFT)	\$499.86	▲ +2.54%	\$3.712T	Best of the Mag7 by a wide margin and the single largest positive Dow contributor at ≈+74 index points. Reversed two sessions of underperformance. Failed to hold \$500 by 14 cents
Apple (AAPL)	\$312.41	▲ +0.45%	\$4.559T	Third consecutive gain. Named a long on the Macro Show. The quiet defensive compounder in a week where defensiveness paid
Meta (META)	\$589.90	▲ +0.19%	\$1.503T	Effectively flat for a second day. Ordered to pay more than US\$900m in the New Mexico child-safety case — the stock did not move on it. Still ~26% below the \$796.25 high
Amazon (AMZN)	\$272.26	▼ −0.14%	\$2.937T	Third consecutive fall, and each one smaller than the last. Still \$63bn below the \$3 trillion handle it held on Monday
Nvidia (NVDA)	\$218.99	▼ −0.10%	\$5.304T	113m shares, half Wednesday's volume. Ranged 217.27–223.63 and closed at the bottom of it. No published Risk Range this morning — yesterday's \$190–216 would put it above the ceiling, but that band is stale
Tesla (TSLA)	\$319.53	▼ −0.63%	\$1.262T	Held \$300 for a seventh session. Still the year-to-date Mag7 laggard, 36% below its 52-week high
Alphabet (GOOGL)	\$357.75	▼ −1.29%	\$4.375T	Worst of the Mag7 for a second consecutive day. A further \$57bn of capitalisation gone, on top of Wednesday's \$186bn. The Jeff Dean repricing is not a one-day event

Thursday official cash closes; market capitalisations are Yahoo Finance primary marks, not derived. The Mag7 was up on the day on a simple average (+0.16%) and down on a cap-weighted basis, because the two largest names by capitalisation — Nvidia and Alphabet — both fell. Hedgeye's MOMO Tracker put the basket at -0.6% but was published 21:13 GMT+8 Thursday, before the US session, and therefore refers to Wednesday. Its Mag7 figure is not comparable to this table.

6 Positioning & options

- **The VIX fell 4.17% on a day the Dow lost 464 points, and that is now a pattern rather than an anomaly.** 15.15, low 15.11, and 0.39 off the floor of a band Hedgeye lowered at both ends. Read Wednesday and Thursday together: the index made a record and insurance got cheaper; the index broke and insurance got cheaper again. Two-way vol compression into a payrolls print is the definition of a market that has stopped pricing the calendar.
- **Nasdaq implied volatility is at a 19% discount to realised, against a premium one week ago.** VXN near 24 inside a 22–31 range. The swing from premium to discount in five sessions, while 1-month high-beta momentum sits at -14.2% and the Kospi is down 22% in a month, is the cleanest dislocation on the page. Keith flagged it without hedging it, which he rarely does on volatility.
- **The overbought cohort resolved and it resolved downward.** Yesterday's brief flagged six instruments — SPX, COMPQ, RUT, XLK, HYG, LQD — as having closed above their ceilings on Tuesday and mean-reverted back inside on Wednesday. On Thursday every one of them fell again. None broke a floor. That is orderly, and orderly is what a band-widening does: the Nasdaq band went from 6.7% of the index to 9.0%, which absorbs more price with fewer signals.
- **Credit still does not care, and the divergence is now four sessions old.** HYG -0.08%, LQD -0.36%, on a day the Dow fell 0.85%, software fell 2%, and three billion-dollar names lost a fifth of their value. HYG sits 28c below a ceiling that was cut 1c. Either credit is asleep or the equity move is genuinely idiosyncratic. Four days in, the second reading is winning.
- **Hedgeye's book change tells you where the conviction is.** Adding shorts in Roundhill Memory (DRAM, -4.28% Thursday to 51.44) and Asia Innovators (MINV) is the Korea thesis expressed in tradable instruments rather than commentary. Adding longs in Interest Rate Hedge (IVOL) and High Dividend (HDV) is a duration-and-defensiveness pair. Removing the Silver Miners short (SIL, -0.61% to 83.26) after the metal ran through a raised ceiling is a risk-management exit, not a view change.
- **Signal Strength went to 65 names, 7 added and 5 removed.** Additions: FSLY, PVH, REAL, BBWI, HD, W, TEAM. That is four consumer-discretionary names and two software names on the long side, published at 00:54 GMT+8 Friday — after the software complex broke. Adding TEAM and FSLY on the day IGV fell 1.87% is either good discipline or an expensive one; the signal will say which within a week.

7 Sector rotation — leaders & laggards (Thu 6 Aug)

SECTOR (SPDR PROXY)	CLOSE	DAY	NOTE
Energy (XLE)	58.16	▲ +1.48%	BEST. Hedgeye bought it into Wednesday's close. Exxon +2.12% to 154.84, Occidental +4.14% on its best quarterly profit since 2022. Crude settled +2.75%
Comm. Services (XLC)	111.18	▲ +0.28%	Rose despite Alphabet -1.29%, which is a 40%-weight name. Meta and Netflix did the offsetting
Health Care (XLV)	164.45	▲ +0.18%	Second-best for a second day. Eli Lilly +1.89% to 1,191.94. Hedgeye long. Upper half of a 160–168 band raised \$1 at both ends
Consumer Staples (XLP)	85.11	▼ -0.26%	Flat for a third day. Still not participating in either direction
Technology (XLK)	185.33	▼ -0.31%	The split re-inverted. Semis (SMH) +0.31% versus software (IGV) -1.87%. Exactly the opposite of Wednesday, and the wrong way round for the house's net-long-software leg
Financials (XLF)	57.81	▼ -0.33%	Goldman -2.62% was the whole sector move at index level, and 165 points of the Dow's
Cons. Discretionary (XLY)	118.10	▼ -0.46%	Amazon -0.14% again failed to be the problem. Airbnb -0.56% into a strong print
Utilities (XLU)	43.38	▼ -0.64%	Down again. Bearish TREND since last week and it has not recovered a single session. Hedgeye exited in July
Industrials (XLI)	184.76	▼ -0.85%	Boeing -3.33%, Caterpillar -1.62%, Honeywell -2.97%. Three Dow names in one sector, ≈176 index points between them
Real Estate (XLRE)	44.81	▼ -0.86%	Broke three flat sessions to the downside on a +5.3bp 10-year. Now 37c off its band floor. Hedgeye long, and this is the position that is hurting
Materials (XLB)	52.17	▼ -0.89%	WORST , and it fell on a day copper made a 52-week high. Wednesday's second-best sector was the gold and silver miners; Thursday the metals stalled and the miners gave it all back

- **▲ Leaders were oil, health and the defensive dividend.** Occidental +4.14% (record free cash flow, production +2.4%), Motorola Solutions +8.20% to 474.07 on a 52-week high, Parker Hannifin +9%, Exxon +2.12%, Eli Lilly +1.89%. In the small and mid tier: Iovance +43.09%,

Insmmed +33.86%, SiTime +26.58%, WPP +25.91%, Hertz +29.49%, SoundHound +10.11%. Braveheart Bio +65.56% was the tape's single largest move.

- ▼ **Laggards were guidance, and only guidance.** BillionToOne -38.89%, Honeywell Aerospace -23.16% on a cut to 2026 organic sales growth (7-9% down to 4-5%) driven by a casting shortage in the aftermarket, AppLovin -19.66%, HubSpot -19.10%, Datadog -19.03%, Papa John's -15%, Celsius -15%, Six Flags -18%, Dutch Bros -16%, Western Digital -11%, The Trade Desk -6.80%, SanDisk -6.81%. Not one of these was a demand miss reported as a demand miss. Every one was a forward number.
- ◆ **Rotation read: four days, four leadership groups, and the macro is winning.** Monday neoclouds, Tuesday semiconductor hardware, Wednesday healthcare and precious metals, Thursday energy and health care again. That is the Quad 3 sector list arriving in sequence, and it arrived on the day Hedgeye bought XLE and on the morning after it published a monthly path that puts August in Quad 3. What is genuinely new is that the rotation happened for a fourth consecutive session *without* credit widening and *without* the VIX rising. The index is not being sold. Individual forward guides are.

8 Forward — futures & the week ahead

Where the tape is as Asia trades through its morning. At 10:11-10:12 EDT: ES 7,732.50 (-0.03%), NQ 29,522.25 (+0.12%), YM 53,917 (-0.18%), RTY 3,003.90 (-0.17%). Volumes 27,769 / 32,750 / 2,341 / 2,740 lots — the Nasdaq contract is the only one with real turnover and the only one green, which is the mirror image of yesterday. WTI +0.93% at \$78.01 and Brent +1.07% at \$83.37 — **crude is still going up overnight, after the settle, after the Hormuz headline.** Gold +0.43% at 4,318 and silver +1.33% at 62.43; copper +0.72% at 6.7575 having touched a 52-week high. Dollar unchanged at 99.95. Bitcoin -0.38%, Ether +0.12%. **The disconnect to note: US futures are flat to lower while the metals complex is bid across all three and crude is up for a second consecutive overnight.**

DAY (GMT+8)	KEY EVENTS
Fri 7 Aug (today)	★ US JULY EMPLOYMENT REPORT, 20:30. Consensus + 80,000 (WSJ survey +83,000), unemployment rate 4.2% unchanged, average hourly earnings +0.3% m/m and +3.5% y/y. June was +57,000 with April-May revised down a combined 74,000. This print arbitrates a four-way split: ADP +44,000 against 75,000 expected, ISM services employment 47.4 in contraction, Challenger layoffs at a two-year low, and claims at 199,000 below consensus. Two of the four labour reads this week were soft and two were firm. The asymmetry has not changed: the 29 July dissents were hawkish, so a hot print is the risk here, not a cold one. ★ China trade balance, 11:00 — not yet published at capture
Mon 10 Aug	★ Barrick Mining (B) earnings — the first read on whether the gold move is reaching producer numbers. ★ US July CPI is the following week's event and the August Nowcast now sits at 3.60%, revised -5bp
Tue 11 – Wed 12 Aug	★ Rocket Lab (RKL), AST SpaceMobile (ASTS), Venture Global (VG) on 11 August; CoreWeave (CRWV) on 12 August — the single most important AI-capex datapoint left in this earnings season, and it lands into a software complex that has just been repriced twice in a week
Watch	Whether Netflix is removed from Hedgeye's Signal Strength short list, which would be a long signal. Whether gold holds the new \$4,301 ceiling or fails back into the band. Whether copper's 52-week high extends or reverses like Tuesday's semiconductor squeeze did. Whether the Kospi's fifth consecutive decline turns into a sixth. Whether the Hormuz "agreement in principle" produces an actual joint statement — Oman has still said nothing, and Baghaei's caveat about "certain third parties" is doing a lot of work. And whether VXN's 19% discount to realised survives a payrolls Friday

Times converted to GMT+8 by adding 12 hours to US Eastern. This brief was written at approximately 10:50 GMT+8 Friday 7 August. Earnings dates for 10-12 August are carried from the exchange calendar surfaced on Yahoo Finance and are not independently confirmed with the companies. China's July trade balance had not printed at capture. The Bank of Korea meets 27 August and is expected to hike a second time; no central bank decisions fall between 7 and 10 August.

9 Corporate news

- **Datadog grew revenue 36% to over \$1bn and lost a fifth of its market value.** DDOG closed 229.29, -19.03%, taking \$19bn off a \$81.6bn company. The growth number was not the problem. The stock is now 21.7% below its \$292.72 high and 134% above its \$98.01 low — a range that tells you this has been a two-way instrument all year and that Thursday's move sits in the middle of its own distribution, not at an extreme.
- **HubSpot cut revenue guidance and fell 19.10% to 202.43, and the second number is the story.** The 52-week high is \$525.51. HubSpot has lost 61% of its value in a year while the S&P made records. Its session low of 185.05 was 8.6% below the close, meaning the stock rallied 9.4% off the bottom into the bell. Something bid it. The 52-week low of 169.63 held.
- **AppLovin fell 19.66% to 335.67 and closed at its own 52-week low.** Piper cut it to Neutral, and it missed against its own revenue and EBITDA guidance rather than against the street. The session low, 332.19, is the 52-week low, and the 52-week high is 745.61 — the stock has halved. On a \$112.8bn capitalisation, Thursday alone was \$27.6bn.
- **The Trade Desk closed at \$17.67 and the CEO explained why in one sentence.** Customers are "operating in a different environment." Against a 52-week high of \$91.45, TTD is down 81%, and the session low of \$17.40 was 4 cents from the 52-week low of \$16.70. It traded 49.5 million shares — nearly six times Datadog's turnover on a company one-tenth the size. That is capitulation volume, and it kept going after the close.
- **Honeywell Aerospace cut 2026 organic sales growth from 7-9% to 4-5% and fell 23.16%.** A casting shortage is starving the aftermarket. The stock closed 156.47, having printed a 52-week low of 150.03 on the day, against a 52-week high of 297.50. Separately, Honeywell

International (HON) fell 2.97% to 240.74 and contributed ≈44 points to the Dow's decline. The two are being read as one story by the tape and are not the same instrument.

- **Airbnb beat and raised, and the market took two goes at deciding.** ABNB closed -0.56% at 151.64 in the regular session, then rose approximately 11% after hours on a raised 2026 outlook and FIFA World Cup demand. Expedia, reporting into the same read-across, fell 4.09% to 306.57 and set its session low at the close. Same industry, same day, opposite verdicts — and the divergence is guidance again.
- **Occidental posted its highest quarterly profit since 2022 and rose 4.14%.** Global production up 2.4%, record free cash flow. Exxon +2.12% to 154.84, one cent off its session high. Energy was the best sector, crude settled +2.75%, and Hedgeye bought the sector the previous afternoon. Everything in that sentence happened in the right order.
- **Motorola Solutions rose 8.20% to 474.07 and closed at a 52-week high.** On a day the Dow fell 464 points and three software names lost a fifth each, the best large-cap performer on the board was a public-safety radio company. That is the Quad 3 sector list doing what the backtest says it does.

10 Macro data

- **Initial jobless claims 199,000 against 202,000 expected, from a revised 198,000.** The four-week average fell to 198,750. This is the hard, weekly, unrevised-by-survey number, and it says nothing is breaking. Set it beside Wednesday's ADP of +44,000 against 70–75,000 expected and you have the week's central tension: the surveys are soft and the claims data is firm.
- **Challenger July job cuts 33,429 — the lowest in two years, -27% month-over-month and -46% year-over-year.** AI accounted for 10,970 of them, roughly a third. A two-year low in announced layoffs, in the same week the ISM services employment sub-index printed 47.4 and fell into contraction, is not a contradiction that resolves itself. One of those two series is measuring something the other is not, and Friday's payroll arbitrates.
- **Q2 nonfarm productivity +1.4% against +0.6% expected; unit labour costs +1.3% against +2.1% expected.** This is the most disinflationary pair of numbers released this quarter and it was almost entirely ignored. Unit labour costs running at 1.3% with productivity at 1.4% means wage growth is being absorbed by output rather than passed into prices. Against Wednesday's ISM services prices-paid at 70.3, it is a direct contradiction of the stagflation frame — and the bond market sold off anyway.
- **Wholesale sales -3.0% against +2.2% expected, with inventories revised to +0.2%.** A 5.2-percentage-point miss. Sales collapsing while inventories build is the inventory-to-sales ratio deteriorating in the least ambiguous way available, and it is a direct GDP input. It received no coverage on a day dominated by a price-weighted index and three software guidance cuts.
- **Friday's payroll now arbitrates a genuinely four-way split, and three of the four are soft.** ISM manufacturing 55.6 with employment expanding for the first time since 2023; JOLTS openings -178,000 to 7.359m; ADP +44,000 against 70–75,000; ISM services employment 47.4, in contraction. Against that: claims at 199,000 and Challenger at a two-year low. Consensus is +80,000 with unemployment at 4.2%. **The asymmetry is unchanged from yesterday and it is worth restating: because the 29 July dissents were hawkish, a hot print is the risk to this market, not a cold one.**
- **The Fed is still at 3.50–3.75% and this week's data cut both ways.** Hammack and Logan dissented for a hike on 29 July, citing elevated inflation partly attributable to Middle East energy shocks. Crude is now higher than it was at that meeting — WTI settled \$77.29 on Thursday against roughly \$70 in late July — which strengthens rather than weakens their stated justification. That is a change from yesterday's read, and it is a change in the hawks' favour.

11 Geopolitics

- **▲ The Hormuz negotiation produced its first concrete artefact: coordinates.** Iran's foreign ministry spokesman Esmail Baghaei confirmed that "the geographic coordinates of a route where ships would pass through the Strait of Hormuz have been agreed upon by Iran and Oman." Talks have run three weeks. A **60-day trial period for oil shipments** is under discussion, expected to lead to a permanent agreement. Turkish foreign minister Hakan Fidan predicted conclusion "today": "God willing, the negotiations between the United States and Iran to open the Strait of Hormuz will conclude today."
- **▼ Three things are still missing, and each of them is load-bearing.** No formal joint statement had been released. **Oman has not commented publicly at all.** The mechanism for opening the waterway and its duration were still being finalised. And Baghaei attached a caveat that implementation depends on avoiding interference from "certain third parties" — a phrase that in this negotiation has consistently meant Israel.
- **◆ The United States is simultaneously central and absent.** Trump said an Iran agreement could be announced this week. Iran denies conducting direct talks with the US. Fidan describes the negotiation as being "between the United States and Iran." Three parties are describing three different negotiations, and the only bilateral either side will confirm is Iran–Oman. That structural ambiguity is precisely why a coordinates agreement is not a reopening.
- **◆ What the price actually did is the part to hold on to.** On the day the best Hormuz headline in four weeks printed, **WTI settled +2.75% and Brent +3.83%**, and both went higher again overnight. There are two coherent readings. Either the market does not believe the deal survives contact with the third parties, or it has concluded that a 60-day trial for oil shipments is a much smaller reopening than the risk premium currently embedded — in which case the premium was never really about the Strait. Both readings undercut the consensus long-crude-on-escalation trade, and neither is priced.

- ◆ **The base rate has not improved and it is recent.** The June memorandum was signed, held for weeks and broke. The Strait has been impassable since 8 July. Commonwealth Bank estimated transit had recovered to only 30–35% of pre-war levels against a normal ~88 ships a day. Nothing published Thursday updates that number, and a coordinates agreement does not move a ship.

12 Overnight setup — what Asia opens into

INSTRUMENT	LIVE	CHANGE	NOTE
S&P futures (ES)	7,732.50	▼ -0.03%	27,769 lots. Ranged 7,727.25–7,742.50 — a 15-point overnight range on the eve of payrolls
Nasdaq-100 fut (NQ)	29,522.25	▲ +0.12%	32,750 lots, the heaviest of the four. The only green major
Dow futures (YM)	53,917.00	▼ -0.18%	2,341 lots. Nobody is buying the break
Russell futures (RTY)	3,003.90	▼ -0.17%	2,740 lots. Hovering on the 3,000 handle it lost intraday
USD/JPY	158.342	▼ -0.07%	Ranged 158.21–158.58. A sixth session pinned
USD/KRW	1,418.43	▼ -0.30%	Won stronger into a falling Kospi for a third session. Ranged 1,417.28–1,425.61
USD/TWD	32.207	▼ -0.08%	Same pattern, smaller. The dollar-down trade is overriding Asian risk-off
USD/CNH	6.7467	▲ +0.05%	Marginally weaker yuan, still near the strong end of its 52-week range
EUR/USD	1.1525	◆ 0.00%	Unchanged to four decimal places overnight
Gold (Dec)	\$4,318.00	▲ +0.43%	Back above the \$4,301 Hedgeye ceiling in Asian hours
Silver (Sep)	\$62.425	▲ +1.33%	Ranged 61.42–62.55. Straight back at the raised \$63 ceiling
Copper (Sep)	\$6.7575	▲ +0.72%	52-week high of 6.76 printed overnight
WTI / Brent	\$78.01 / \$83.37	▲ +0.93% / +1.07%	Second consecutive overnight higher, after a +2.75% / +3.83% settle
Bitcoin / Ether	\$64,274 / \$1,899.72	▼ -0.38% / ▲ +0.12%	Ether has not held \$1,900 with conviction in nine sessions

- **The single instrument most likely to move is Korean.** The Kospi has now fallen five consecutive sessions, is -22% in a month and -31% from its peak, and Hedgeye is short it through EWY while adding a short in Asian innovators (MINV). The transmission is explicit: SanDisk fell another 6.81% Thursday, Western Digital fell 11%, and Roundhill's memory ETF fell 4.28%. Seoul reads those as NAND and DRAM pricing, not as company events. **At capture the Kospi was 6,235.63, -0.96%** — a sixth session, and the won was *stronger* again, which remains the wrong sign for a genuine risk-off.
- **What Asia is handed is a split tape, not a directional one.** US futures flat to lower, metals bid across all three, crude up for a second overnight, dollar unchanged, and a semiconductor index that rose 0.33% after a 4.8% intraday span. There is no clean read-across. The one unambiguous handover is energy: XLE +1.48% with crude settling +2.75% gives Asian energy and resource names something to work with, and Australia — where materials and gold miners have led all week — is the cleanest expression.
- **The event risk is entirely in the last two hours of the Asian day.** US July payrolls at 20:30 GMT+8 lands after every Asian cash market has shut — Tokyo and Seoul close at 14:00 and 14:30, Hong Kong at 16:00. Asia will trade the whole session blind to the number that matters most, and will reprice it on Monday. That is the argument for the overnight futures tape being the more informative page today.

This section is written to the 06:00 GMT+8 template, in which no Asian cash market is open and the setup is futures, FX, crypto and commodities only. This test edition was captured at 10:15–10:50, by which time Asian cash markets had been trading for one to two hours; the Kospi level quoted in the first bullet is a live 11:05 KST print, clearly marked, and is the only Asian cash figure in this brief. In a 06:00 production run it would be replaced by Thursday's Asian closes plus a preview.

13 AI watch

- **The AI trade split cleanly into infrastructure and application, and the application side lost.** Semiconductors rose 0.33% while software fell 1.87%, and the three worst large-cap performers on the board — Datadog, HubSpot, AppLovin — are all software companies selling AI-adjacent products into corporate budgets. The infrastructure names that sell the compute went up. When the AI trade fractures along the line between who buys the GPUs and who sells the software that runs on them, it is the second group that is being asked to justify itself.
- **Challenger attributed 10,970 of July's 33,429 announced job cuts to AI — roughly a third — in the month with the fewest announced cuts in two years.** Both facts are true simultaneously and they are usually reported as though only one can be. AI is the largest single named cause of a shrinking total. The displacement is real and the aggregate is improving.
- **Nvidia traded 113 million shares to close down 0.10%, and that is the quietest it has been in weeks.** Half Wednesday's volume, a 217.27–223.63 range, and a close at the bottom of it. No Risk Range was published for it this morning. On a day the Dow fell 464 points and software was repriced, the single largest company in the world did nothing at all.
- **CoreWeave reports on 12 August and it now matters more than it did on Monday.** It is the cleanest remaining read on AI capex durability, and it arrives into a software complex that has been repriced twice in one week on forward guides. If the neocloud capex number is strong and

- the software guides stay weak, the fracture in the first bullet becomes the trade for the rest of the quarter.
- **Microsoft rose 2.54% and nobody attached an AI narrative to it.** Two days after the disclosure that it booked \$24.1bn from OpenAI in the fiscal year to late June — roughly 70% of its actual AI revenue from a single counterparty — the stock had its best session of the week and contributed +74 Dow points. The concentration number has not been repriced. It has been absorbed.

14 Beyond the markets

- **The best-performing large-cap in America on Thursday made two-way radios.** Motorola Solutions, +8.20% to a 52-week high of 474.07, on a day three billion-dollar software companies each lost a fifth of their value. Nobody will write that sentence, because it does not fit either the AI story or the recession story.
- **An index fell 0.85% while its largest constituent by price rose 2.54%.** The Dow's methodology — one dollar of share price equals 5.94 index points regardless of company size — meant Goldman Sachs, a \$301bn company, moved the index nearly two and a half times as much as Microsoft, a \$3.7 trillion one, in the opposite direction. The Dow is the most-quoted number in financial media and it measures share prices, not companies. Thursday was a clean demonstration.
- **Crude rose on peace and the VIX fell on a 464-point down day.** Two prices moved opposite to their own headline on the same session. Neither is irrational; both are the market saying the headline was already in the price and the thing that is not in the price is something else. What is not in the price is Friday's payroll.
- **Three of Hedgeye's four documented factor legs worked on Thursday and the fourth cost them.** Short Korea: EWY -2.97%. Long energy: XLE +1.48%, best sector, bought the previous afternoon. Long health care: XLV +0.18%, second-best. Net long software against net short semiconductors: IGV -1.87% versus SMH +0.31%, a 2.2-point loss on the spread. A process that publishes all four the morning after is doing something most of the industry does not.
- **The most under-covered number of the day was wholesale sales at -3.0% against +2.2% expected.** A 5.2-point miss on a direct GDP input, released the same morning as a two-year low in layoffs. It appeared in no headline this brief could find. It is the sort of number that matters exactly once, and violently, and usually about six weeks later.

15 Appendix — stock cards

Names in focus plus the levels that matter — last · day · market cap · band or next key date · one-line read. Equity prices are Thursday 6 August cash closes; futures, FX, crypto and the single Asian index quoted are live 10:15–10:50 GMT+8 Friday. No charts.

Thursday's index event, and the six stocks that were it

GOLDMAN SACHS (GS) \$1,032.58 ▼ -2.62% Cap \$300.7bn · -27.80 ≈ -165 Dow points · 52wk 705.55–1,153.99 More than a third of the entire Dow decline from one \$301bn company, because the index weights by price. Closed 2 cents off the session low.	MICROSOFT (MSFT) \$499.86 ▲ +2.54% Cap \$3.712T · +12.40 ≈ +74 Dow points · high 501.56 Best of the Mag7, largest positive Dow contributor, and the index still fell 464 points. Missed the \$500 close by 14 cents.
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The software repricing — three names, one mechanism

DATADOG (DDOG) \$229.29 ▼ -19.03% Cap \$81.6bn · revenue +36% to >\$1bn · 52wk 98.01–292.72 Grew 36% and lost \$19bn of value in a session. The result was not the problem; the guide was.	HUBSPOT (HUBS) \$202.43 ▼ -19.10% Cap \$10.4bn · 52wk 169.63–525.51 · low 185.05 Down 61% in a year while the index made records. Rallied 9.4% off the session low into the bell — something bid it.
APPLOVIN (APP) \$335.67 ▼ -19.66% Cap \$112.8bn · closed at 52wk low · 52wk high 745.61 Piper to Neutral; missed its own guidance, not the street's. Session low 332.19 is the 52-week low. Halved in a year.	THE TRADE DESK (TTD) \$17.67 ▼ -6.80% Cap \$8.3bn · 49.5m shares · 52wk 16.70–91.45 Down 81% from the high, 97 cents off the low, on six times Datadog's volume at a tenth the size. CEO: customers are "operating in a different environment."

The metals, and the bands Hedgeye had to move

GOLD (DEC)

\$4,318.00 ▲ +0.43%

LIVE · settled \$4,299.60, −0.13% · band \$4,029–4,301 NEUTRAL

Ceiling raised \$126 from 4,175 and the price is sitting on it. GLD +0.01%. The best session of the year was Wednesday; Thursday it simply held.

COPPER (SEP)

\$6.7575 ▲ +0.72%

LIVE · settled 6.709 · 52wk high 6.76 · band 6.40–6.85 bullish

A 52-week high overnight, in the top quarter of a band that was just raised. Keith said on the record that exiting this long was a mistake.

SILVER (SEP)

\$62.425 ▲ +1.33%

LIVE · settled 61.606, −1.10% · band \$55–63 bearish

Band widened at both ends from 57–62 and the price went straight back at the new ceiling. Bearish signal, bullish price, third session running.

WTI CRUDE (SEP)

\$78.01 ▲ +0.93%

LIVE · settled \$77.29, +2.75% · band \$72.45–82.79 bearish

Rallied 2.75% on the day Iran confirmed agreed Hormuz coordinates, and went higher again overnight. No Hedgeye position in crude.

The Quad 3 winners, and the position that is not working

ENERGY SELECT (XLE)

58.16 ▲ +1.48%

BEST SECTOR · Hedgeye bought into Wed close · XOM +2.12%, OXY +4.14%

Bought the afternoon before it was the best sector on the board. Occidental's best quarterly profit since 2022 did the work.

MOTOROLA SOLUTIONS (MSI)

\$474.07 ▲ +8.20%

Cap \$78.7bn · closed at 52wk high 493.57 range high

The best large-cap in the market on the day three software names lost a fifth each. Quad 3 sector leadership, unglamorously.

REAL ESTATE (XLRE)

44.81 ▼ −0.86%

Hedgeye LONG · band 44.44–46.30 bullish · 37c off the floor

Broke three flat sessions to the downside on a +5.3bp 10-year. Lowest position in its band this week. This is the leg that is hurting.

SOUTH KOREA (EWY)

\$164.12 ▼ −2.97%

Hedgeye SHORT · Kospi −22% in a month, −31% from peak

Fifth consecutive Kospi decline, and a sixth in progress at capture. The won strengthened anyway, which is backwards.

Sources

Live and settled market data. Yahoo Finance multi-symbol quote comparison pages, captured 10:15–10:50 GMT+8 Friday 7 August in four batches: US cash indices and Treasury yield indices (^GSPC, ^IXIC, ^DJI, ^RUT, ^SOX, ^VIX, ^TNX, ^TYX, ^FVX, ^IRX); futures, commodities, FX and crypto (ES=F, NQ=F, YM=F, RTY=F, CL=F, BZ=F, NG=F, RB=F, GC=F, SI=F, HG=F, DX-Y.NYB, JPY=X, KRW=X, TWD=X, CNY=X, EURUSD=X, BTC-USD, ETH-USD); Mag7, the eleven SPDR sectors and reference ETFs (RSP, SPY, HYG, LQD, GLD, SLV, EWY, SMH, IGV, TLT); and single names (GS, UNH, BA, CAT, HON, CRM, HONA, MCK, ABBN, NET, EXPE, PINS, TTWO, AFRM, BILL, DOCS, MSI, GILD, TTD, APP, HUBS, DDOG, SPCX, OXY, XOM, SNDK, MRVL, LLY, DRAM, SIL, HDV, IVOL, COLO, BJRI, NFLX). Wednesday's settles used for reconciliation are as published in the 6 August edition of this brief.

Hedgeye — FULL logged-in edition, feed read 10:20–10:35 GMT+8 Friday. Early Look "The Paradise Paradox" (Josh Steiner, 6 Aug 07:58 EDT) for all sixteen Risk Ranges, the Q3/Q4/Q1-27 Quad forecasts, the GDP and CPI Nowcast revisions and the crude case study. KM's Top 3 Things — KOSPI/Momentum/Sectors (Keith McCullough, 6 Aug 07:19 EDT) for the Kospi figures, the VXN discount, the −14.2% momentum number and the XLE purchase. The Macro Show summary notes (6 Aug 10:37 EDT, Keith McCullough with Bennett Cheer) for book positioning, the 63/52 Signal Strength count, the RSP-not-SPX stance, the copper admission, the Netflix potential reversal and the international book. ETF Pro Plus "UPDATE: 5 New ETF Pro Changes" (6 Aug 10:46 EDT) for IVOL, HDV, DRAM, MINV and the SIL removal. Signal Strength Stocks — 65 names (6 Aug 12:54 EDT) for the seven additions. MOMO Tracker (6 Aug 09:13 EDT) — headline only; the body is image-based, see Data-confidence.

Session narrative, corporate news and single stocks. Investrade mid-morning look for 6 August (macro actuals versus consensus, intraday index levels, individual movers and reasons); Yahoo Finance markets live blog for the 6 August pre-market setup; TheStreet's 6 August market-today page; ts2.tech for the Dow contribution decomposition at 15:47 EDT and the 5.94-points-per-dollar divisor; Benzinga, Seeking Alpha, Quartz, TechTimes and Motley Fool coverage of the Honeywell Aerospace guidance cut; Stocktwits for the Airbnb after-hours move and The Trade Desk CEO quotation; Investor's Business Daily headline for the late software earnings winners.

Macro and policy. Jobless claims, Challenger July job cuts, Q2 productivity and unit labour costs, and wholesale inventories and sales — actuals and consensus as reported in the Investrade 6 August summary and corroborated on claims by Quartz. July payrolls consensus, unemployment rate and average hourly earnings from TradingKey's NFP preview (WSJ survey cross-reference included); June payrolls and the April–May revisions from the same. ADP, ISM services and manufacturing, JOLTS and the 29 July FOMC dissent are carried forward from the 4–6 August editions of this brief.

Geopolitics. NPR's 6 August report on the Iran–Oman Strait of Hormuz negotiation for the Baghaei and Fidan quotations, the coordinates agreement, the 60-day trial proposal and the "certain third parties" caveat; Bloomberg, CNN, CNBC, Al Jazeera and ms.now headlines for corroboration of the "agreed in principle" framing and of Oman's silence. The Commonwealth Bank transit estimate and the 8 July blockade date are carried forward from prior editions.

Data-confidence

CROSS-CHECKS PASSED. Cash index arithmetic ties in all four cases against the closes published in yesterday's edition: 7,723.55 − 13.59 = 7,709.96; 26,363.44 − 15.09 = 26,348.35; 54,349.12 − 464.02 = 53,885.10; 3,019.19 − 17.64 = 3,001.55. **All eleven SPDR sector closes reconcile exactly** to yesterday's published closes: XLV 164.16 → 164.45, XLB 52.64 → 52.17, XLY 118.64 → 118.10, XLF 58.00 → 57.81, XLRE 45.20 → 44.81, XLI 186.35 → 184.76, XLP 85.33 → 85.11, XLK 185.91 → 185.33, XLU 43.66 → 43.38, XLC 110.87 → 111.18, XLE 57.31 → 58.16. **All four Treasury yield indices reconcile:** 10Y 4.617 → 4.670 (+5.3bp), 30Y 5.17 → 5.21 (+4bp), 5Y 4.324 → 4.389 (+6.5bp), 13-week 3.725 → 3.732 (+0.7bp). **VIX reconciles:** 15.81 − 0.66 = 15.15. **Every futures row reconciles to its prior settle** and each settle reconciles back to Wednesday's settle as published yesterday (ES, NQ, YM, RTY chains printed in the section 1 footnote). **The ES cash basis is stable:** +24.79 Thursday against +25.95 Wednesday — a 1.16-point change consistent with one day of carry, which independently corroborates both the cash close and the futures settle. RTY basis +7.55 against +6.21. **The Dow divisor derivation is self-consistent:** ts2.tech reported Goldman at −165 Dow points at 15:47 EDT and quoted \$1 = 5.94 points; GS closed −\$27.80, and 27.80 × 5.94 = 165.1.

KNOWN CONFLICTS AND WEAK MARKS. (1) Brent's Thursday settle is derived, and one source disagrees. This brief uses BZ=F at 83.37 with a stated change of +0.88, implying a settle of 82.49 and a +3.83% session. A Yahoo Finance auto-generated oil page quoted Brent at 83.64, -0.08 (-0.09%), implying a settle near 83.72. The futures quote is internally consistent across price, change and percentage and is preferred; the oil page's reference point is undated. **Treat Brent's percentage move as approximate. (2) RBOB gasoline is unusable day-over-day.** RB=F is quoted at 2.7049 against 2.8388 in yesterday's edition — a -4.7% move on a day WTI settled +2.75%. That combination is not economically plausible and almost certainly reflects a contract roll in the quoted front month. No conclusion is drawn from the row and none should be. **(3) Gold, silver and copper are compared across instruments.** Hedgeye's bands are spot; this brief quotes front-month futures. A contango basis of roughly 0.5–1.0% applies, which matters specifically for the statement that gold is "sitting on" the \$4,301 ceiling — on futures at 4,318 it is above; on spot it is likely at or just below. The directional claim is safe; the precise position in the band is not. **(4) Dow point contributions are this brief's arithmetic, not a published attribution.** Contributions other than Goldman's are computed as the share-price change multiplied by 5.94. ts2.tech's 15:47 EDT snapshot gave UNH -57 and CAT -49 against this brief's closing-price computations of -52 and -84; both stocks moved between 15:47 and the bell, and the closing figures are used. The ~93% share attributed to six names carries that method risk. **(5) The after-hours picture is deliberately thin.** One after-hours aggregator returned content referencing "fourth quarter" results and "2024 gross merchandise volume guidance" — clearly stale material that did not match the tape, and it contradicted the Motorola Solutions close outright. It was discarded entirely. Only two after-hours moves appear in this brief, Airbnb's approximately +11% and The Trade Desk's continued decline, and both are attributed to named same-day reports. **(6) The Airbnb after-hours percentage is a headline figure, not a captured quote. (7) Alphabet's "\$57bn of capitalisation" is derived** from the reported market cap and the percentage move, not from a share-count calculation.

KNOWN GAPS. The MOMO Tracker body could not be read — the publication is image-based and no text was extractable, so only its headline ("Mag7 -0.6%, Perf & TREND Dispersion ↑, ATH MOC Imbalance, Lots to Do") is carried, and it refers to Wednesday's close, not Thursday's. **No single-name Risk Range was published this morning;** yesterday's edition carried NVDA at \$190–216 and its absence today is **not** evidence that the signal changed. The Capital Allocation Pro Key Callouts video and the Model Portfolio Update video were published (01:14 and 01:05 GMT+8 Friday) but are video content and were not viewed; **absence of a reported model-portfolio change here is not evidence that there was none.** Crypto Quant, the Digital Assets Miner Weekly and the Capital Allocation Daily Dashboard were visible on the feed but not read. Hedgeye publishes no Risk Ranges for Utilities, Financials, Energy, Communication Services, USD/JPY, Brent, Bitcoin or any Asian index, so those instruments carry no band in section 4. China's July trade balance had not printed at capture. The Bank of Japan's July minutes and New Zealand's Q2 unemployment, flagged in earlier editions, were not retrieved. No independent source was found for the wholesale sales miss beyond the single summary cited, and it should be treated as one-source until confirmed. Earnings dates for 10–12 August are from a secondary calendar and are not confirmed with the companies.

TIMING & UNVERIFIED. This is a test run of the scheduled 06:00 GMT+8 brief, and it was generated at approximately 10:50 GMT+8 Friday 7 August from a price snapshot taken 10:15–10:50 — roughly four and a half hours after the scheduled slot. The material consequence is section 12: at 06:00 no Asian cash market is open and the section would be futures, FX, crypto and commodities only, plus Thursday's Asian closes as a preview. At capture, Asian markets had been trading one to two hours, and one live Asian cash level — the Kospi at 6,235.63, 11:05 KST — is quoted and marked as such. Nothing else in the brief is affected by the timing difference, because the US cash close, the after-hours tape and the full Hedgeye evening publication set are all complete by 06:00. All LIVE levels will have moved; US cash and Treasury closes will not. **The sixteen Risk Ranges printed here are Thursday's and are superseded when tonight's Early Look publishes around 19:25–19:55 GMT+8.** The US July employment report at 20:30 GMT+8 tonight will reprice most of this page. **Verify live prices before acting.** This is the FULL Hedgeye edition — the logged-in browser was reachable and every product visible on this subscription's feed was surfaced.